

Known Limitations & Open Items — UC-2088

Small Business Credit Memo & Adverse-Action Drafting Assistant · First line: Small Business Lending

Prepared by the use-case owner at intake. This is the only control documentation available for the use case at submission; the items below are self-identified and not yet remediated.

Current State

The assistant is in limited production use. It was built quickly to relieve loan-officer drafting workload during a volume surge. Formal governance documentation was not completed before the pilot went live.

Self-Identified Open Items

- **Hallucination:** No structured testing. Officers have occasionally noted the draft citing figures or justifications not present in the application; caught ad hoc, no measured error rate or threshold.
- **Prompt injection / adversarial:** Not tested. Application free-text fields are passed into the prompt.
- **Privacy / data:** No DPIA completed. Applicant PII and credit-bureau data are included in prompts. The provider no-training confirmation on file (AIBOM FM-0007) has not been checked against the credit-bureau data class specifically.
- **Bias / fair lending:** No bias or fairness evaluation performed. Because output supports credit decisions and adverse-action notices, ECOA/Reg B disparate-impact exposure is unassessed.
- **Grounding:** Output is generated from a template plus application data; there is no source allow-list, groundedness measurement, or citation of the applicable credit policy.
- **Human oversight:** A loan-officer review step exists on paper, but under volume pressure drafts are often accepted with minimal edits. No documented friction or sign-off capture at the point of use.
- **Monitoring:** None in production. No drift, override, or error tracking.

Owner Note

The team requests guidance on what is required to bring the use case into compliance. It is acknowledged that the use case is customer-facing and touches consequential credit decisions.